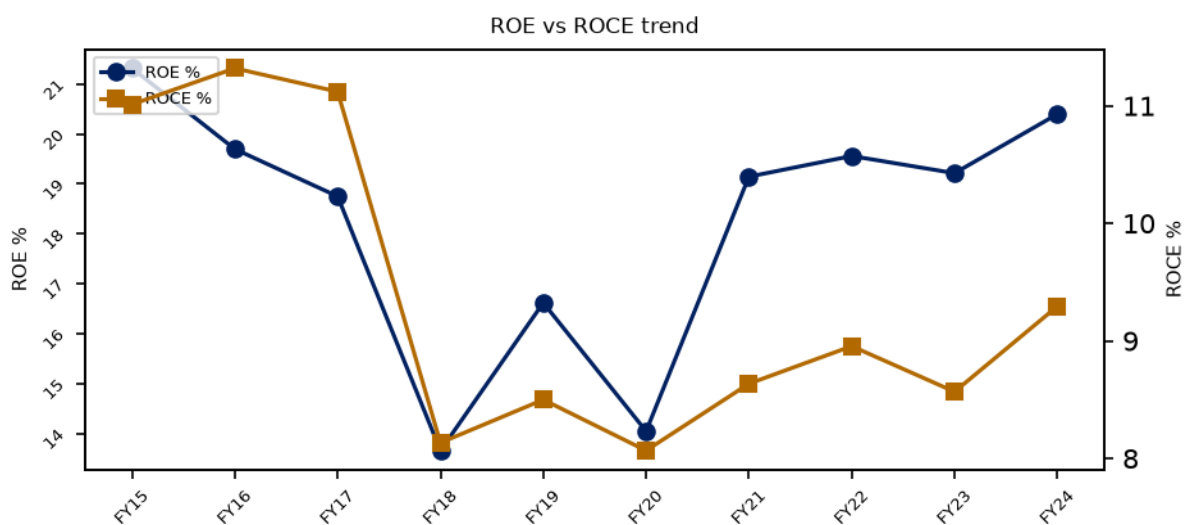
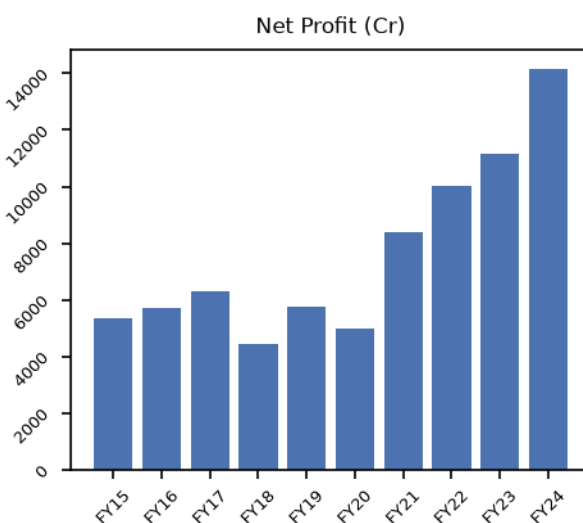
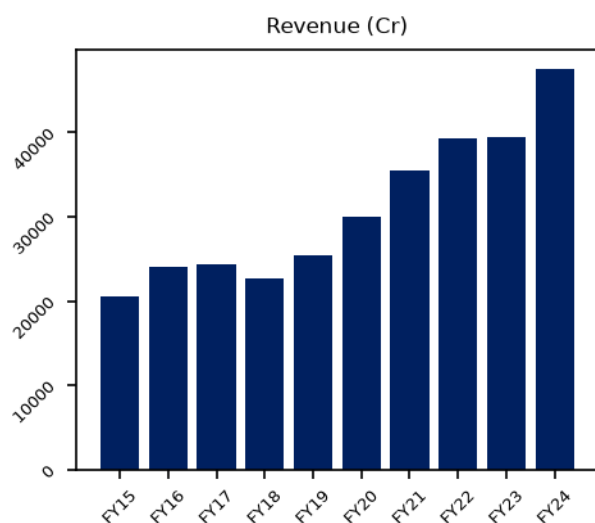
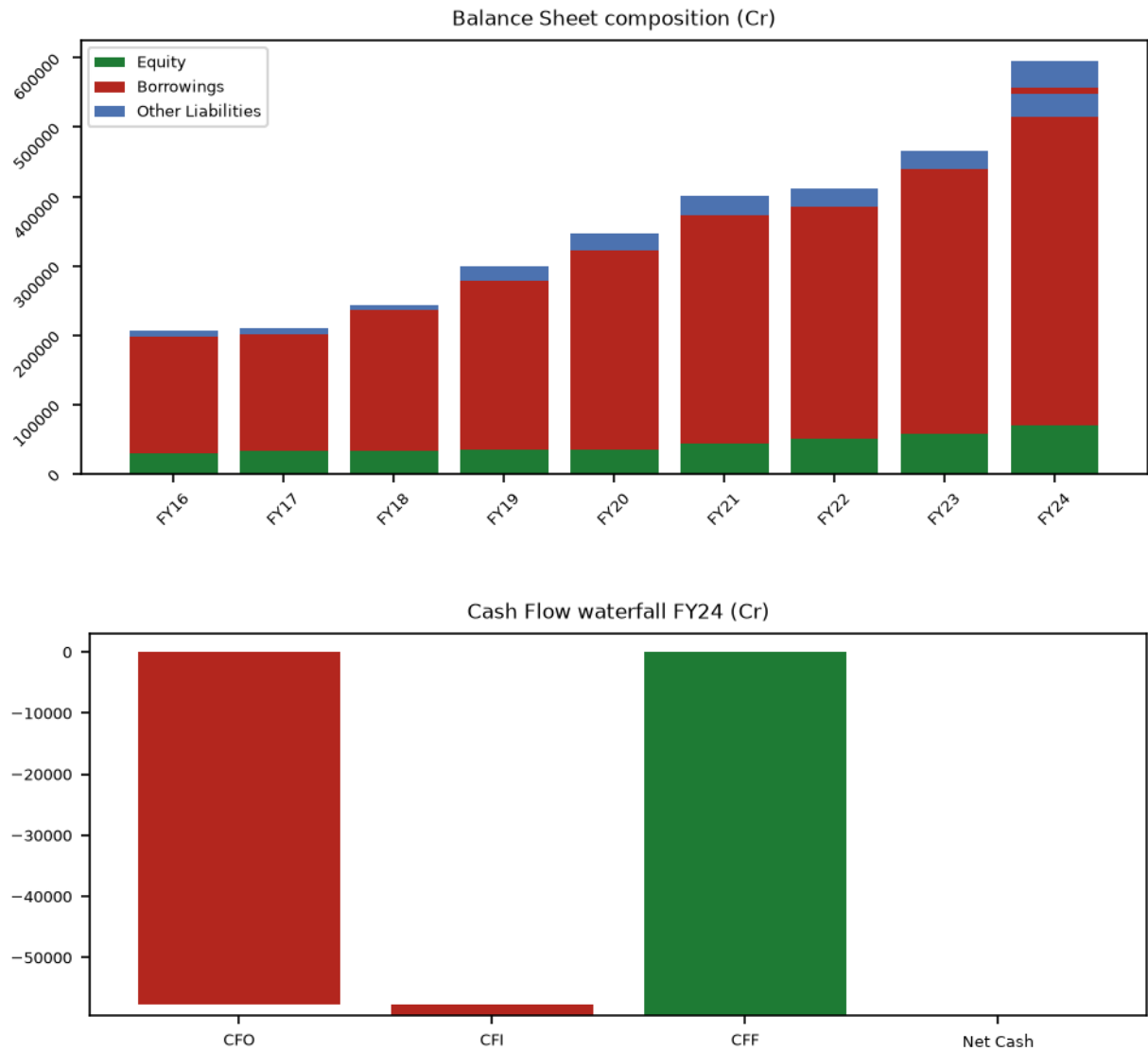


REC Ltd (RECLTD) — Financials / Speciality Finance

20.4 ROE %	9.3 ROCE %	29.8 Net Margin %
6.4x D/E	13.3 Rev CAGR 5Y %	31.5 P/E



RECLTD — Balance Sheet & Cash Flow



Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Consistently high return on equity above 20% demonstrates exceptional capital efficiency

Cons

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk

Capital Allocation: Distress - Financing the Burn